

even heard of a liquidity put. That admission is not quite as embarrassing as former chairman Charles Prince's comment as the storm of the financial crisis was about to break: "As long as the music is playing, you have to keep dancing. We're still dancing." One can only wonder just when senior bankers stopped looking at their balance sheets.

In the months following the deterioration of the credit standing of our largest banks and investment banks (and many smaller banks), the crisis spread to two of our government-sponsored enterprises (GSEs), known as Fannie Mae and Freddie Mac. Together, they have provided some \$5 trillion of mortgage loans to American families, an essential part of the nation's policy of encouraging home ownership. While their mortgage portfolios are of far higher quality than those alchemistic CDOs, these highly leveraged (say, \$40 of borrowed money for each \$1 of assets) shareholder-owned firms depend on regular borrowing in the money market.

Fears about their solvency (despite the implicit support of the federal government) have led to a collapse of about 80 percent in their stock prices. Faced with a credit crisis engendered in part by heavy mortgage foreclosures around the country, the U.S. Treasury had no choice but to formally affirm its backing for these GSEs.^{[12](#)} This issue goes far beyond credit, however. It raises the profound policy question of whether it is sensible or desirable—or ultimately even possible—to privatize the substantial rewards earned in mortgage lending (their shareholders made billions; their executives received fortunes in compensation), at the same time as we socialize the risks (the taxpayers pick up the tab). More broadly, why should our government use tax-payer dollars to lift inefficient, indifferently managed firms to safety? Surely that is a long way from the kind of capitalism envisioned by the economist Joseph Schumpeter.

Marketers Win, Investors Lose

Since there's money to be made—lots of it—in the creation and marketing of inevitably complex innovations, the disease is